



CARBACID INVESTMENTS PLC

Initiation of Coverage

Industrial Manufacturing / Industrial Gases

Recommendation

HOLD

Target Price	KSh 32.86
Current Price	KSh 33.10
Upside /(Downside)	(0.7%)
Expected Total Return	4.3%
FY26 Dividend Yield	5.0%
Ticker	NSE: CARB
Sector	Industrial Gases

Equity Valuation Report

Brian Githinji ■ July 2026

CARBACID INVESTMENTS PLC

Equity Valuation Report – Initiation of Coverage

Recommendation HOLD Valuation-driven rating	Target Price KSh 32.86 Weighted target	Current Price KSh 33.10 As at 02 July 2026
Upside / (Downside) (0.7%) Target vs current	Expected Total Return 4.3% Incl. FY2026F dividend	FY2026F Dividend Yield 5.0% Model Rebuild output
Market Capitalisation KSh 8.4bn NSE: CARB	Market EV KSh 8.2bn Enterprise value	Shares Outstanding 254.9mn Basic shares
Revenue (FY2026F) KSh 2.22bn Operating revenue	EBITDA (FY2026F) KSh 1.11bn Operating EBITDA	Net Cash (FY2025A) KSh 0.24bn Cash minus borrowings
ROE (FY2026F) 15.2% Return on equity	ROIC (FY2026F) 24.9% Return on invested capital	Multiples (FY2026F) 10.4x / 4.9x P/E and EV/EBITDA

Investment summary

Carbacid is best analysed as two value engines rather than a conventional single-line manufacturer: an operating CO₂ and logistics franchise, and a non-operating asset base comprising cash, deposits, financial assets and investment property. The target price is KSh 32.86 against a current price of KSh 33.10, implying (0.7%) capital upside/(downside) and 4.3% expected total return including FY2026F DPS.

This report has been prepared independently for educational and professional portfolio purposes. It should not be construed as investment advice or a solicitation to buy or sell securities.

Contents

1	Investment Summary	1
2	Company Snapshot	4
3	Investment Thesis	7
3.1	Why Carbacid?	7
3.2	Competitive Advantages	8
3.3	Key Growth Drivers	8
3.4	Potential Catalysts	8
3.5	Our Valuation View	9
3.6	Why HOLD Instead of BUY?	9
4	Business Overview	10
4.1	Company History	10
4.2	Business Model	10
4.3	Products and Services	11
4.4	Customer Segments	11
4.5	Regional Presence	11
4.6	Competitive Position	12
4.7	Strategic Priorities	12
4.8	SWOT Analysis	13
5	Industry Overview	14
5.1	Industry Structure	14
5.2	Major Demand Drivers	14
5.3	Key Industry Trends	15
5.4	Porter's Five Forces Analysis	15
5.5	Competitive Landscape	16
5.6	Long-Term Industry Opportunities	16
5.7	Industry Risks	16
6	Business Model & Value Chain	18
6.1	Integrated Value Chain	18
6.2	Revenue Model	18
6.3	Customer Value Proposition	19
6.4	Business Segments	19
6.5	Economic Moat	20
6.6	Key Value Drivers	20
6.7	Business Model Risks	20
6.8	Management Strategy	21
7	Historical Financial Performance	22
7.1	Revenue Performance	22
7.2	Profitability Analysis	22
7.3	EBITDA Performance	23
7.4	Returns Analysis	23
7.5	Cash Flow Analysis	23
7.6	Balance Sheet Strength	24
7.7	Capital Allocation	24
7.8	Quality of Earnings	24

7.9	Key Takeaways	25
8	Forecast Assumptions & Financial Projections	26
8.1	Forecast Methodology	26
8.2	Key Forecast Assumptions	26
8.3	Revenue Forecast	27
8.4	Margin Outlook	27
8.5	Operating Profit Outlook	28
8.6	Free Cash Flow Forecast	28
8.7	Balance Sheet Outlook	29
8.8	Scenario Analysis	29
8.9	Forecast Risks	29
8.10	Key Forecast Takeaways	30
9	Valuation	31
9.1	Valuation Framework	31
9.2	Discounted Cash Flow Valuation	31
9.3	Sum-of-the-Parts Valuation	32
9.4	Relative Valuation	32
9.5	Weighted Target Price	33
9.6	Sensitivity Analysis	33
9.7	Investment Recommendation	33
10	Investment Risks	35
10.1	Risk Assessment Framework	35
10.2	Customer Concentration Risk	35
10.3	Operational Risk	35
10.4	Energy Cost Risk	36
10.5	Foreign Exchange Risk	36
10.6	Regulatory and Compliance Risk	36
10.7	Environmental Risk	36
10.8	Competitive Risk	37
10.9	Macroeconomic Risk	37
10.10	Valuation Risk	37
10.11	Key Valuation Sensitivities	38
10.12	Risk Mitigating Factors	38
11	Appendices & Research Disclosures	39

1 Investment Summary

Carbacid Investments PLC is East Africa's leading producer and distributor of naturally sourced food-grade carbon dioxide (CO₂), serving beverage manufacturers, breweries, healthcare institutions, welding companies and industrial customers across Kenya and neighbouring countries. The company combines a high-margin industrial gas franchise with a sizeable portfolio of investment properties and financial assets, creating a resilient earnings profile and strong cash generation.

Although operational performance remains robust, our valuation suggests that the current market price already reflects much of Carbacid's intrinsic quality. While we remain constructive on the long-term fundamentals, limited upside from current levels supports a **HOLD** recommendation.

Our Investment View

Carbacid possesses one of the strongest industrial business models listed on the Nairobi Securities Exchange. The company benefits from an irreplaceable natural CO₂ source, high operating margins, consistent free cash flow generation, conservative leverage and a long history of dividend payments. Nevertheless, after valuing the operating business using a Discounted Cash Flow model, a Sum-of-the-Parts valuation and relative valuation techniques, we estimate a fair value of **KSh 32.86** per share compared with the current market price of **KSh 33.10**. Consequently, we initiate coverage with a **HOLD** recommendation.

Table 1: Valuation Snapshot

Metric	Value
Recommendation	HOLD
Target Price (KSh)	32.86
Current Price (KSh)	33.10
Upside /(Downside)	(0.7%)
Expected Dividend Yield	5.0%
Expected Total Return	4.3%
Market Capitalisation	KSh 8.4 Billion

Investment Highlights

1. Dominant Market Position

Carbacid is the leading producer of naturally sourced food-grade carbon dioxide in East Africa with an extensive distribution network covering Kenya, Uganda, Tanzania, Rwanda and neighbouring markets.

2. Exceptional Profitability

The company consistently reports operating margins that exceed most listed industrial companies owing to its vertically integrated production process, efficient distribution network and premium product quality.

3. Strong Cash Generation

Historically, Carbacid has converted a significant proportion of operating profits into free cash flow, enabling sustained dividend distributions while maintaining a debt-light balance sheet.

4. Asset Backing

Beyond its industrial operations, Carbacid owns investment properties and financial assets that contribute to intrinsic value while improving earnings resilience.

5. Regional Growth Opportunity

Increasing demand for food-grade CO₂, dry ice, healthcare gases and industrial gases across East Africa provides attractive long-term growth opportunities despite periodic economic slowdowns.

Potential Catalysts

Catalyst	Expected Impact
Expansion into regional export markets	Higher revenue growth and improved capacity utilisation.
Growth in beverage production	Increased food-grade CO ₂ demand from breweries and soft drink manufacturers.
Recovery in manufacturing activity	Higher industrial gas consumption from welding and fabrication industries.
Improved utilisation of investment assets	Additional recurring non-operating income.
Capacity expansion	Potential improvement in economies of scale.

Key Investment Risks

Risk	Description
Customer concentration	Large beverage manufacturers contribute a meaningful proportion of sales.
Operational disruption	Unexpected shutdowns at production facilities could interrupt supply.
Foreign exchange exposure	Imported equipment and regional operations expose earnings to exchange-rate volatility.
Competition	Increased competition from imported industrial gases or new regional entrants.
Energy costs	Higher electricity and fuel prices may compress operating margins.
Regulatory risk	Environmental and industrial safety regulations may require additional capital expenditure.

Conclusion

Carbacid remains one of the highest-quality industrial companies listed on the Nairobi Securities Exchange. However, following our valuation analysis, we believe the current share price adequately reflects the company's long-term earnings potential. We therefore initiate coverage with a **HOLD** recommendation and a target price of **KSh 32.86** per share.

2 Company Snapshot

Company Overview

Carbacid Investments PLC is East Africa's leading producer and distributor of naturally occurring food-grade carbon dioxide (CO₂). The company extracts naturally occurring CO₂, processes it into high-purity industrial and food-grade gas, and distributes its products across Kenya and neighbouring East African markets.

Its products serve beverage manufacturers, breweries, hospitals, food processors, welding companies, manufacturing firms and industrial users.

Beyond its industrial operations, Carbacid owns investment properties and maintains a conservative investment portfolio that strengthens its balance sheet and enhances shareholder value.

Table 2: Company Fact Sheet

Company	Carbacid Investments PLC
Ticker	CARB
Exchange	Nairobi Securities Exchange
Sector	Industrial Manufacturing
Industry	Industrial Gases
Headquarters	Nairobi, Kenya
Products	Food Grade CO ₂ , Dry Ice, Industrial CO ₂ , Medical CO ₂
Primary Markets	Kenya, Uganda, Tanzania, Rwanda, Burundi
Employees	75
Market Capitalisation	KSh 8.4 Billion
Founded	1960s

Investment Strengths

- Largest CO₂ producer in East Africa
- Naturally occurring CO₂ source
- Strong operating margins
- Consistent dividend history
- High free cash flow generation
- Low financial leverage
- Strong asset backing
- Regional distribution network
- Defensive business model

Key Challenges

- Mature domestic market
- Customer concentration
- Export market volatility
- Energy cost inflation
- Exchange-rate risk
- Environmental regulation
- Limited product diversification
- Manufacturing downtime risk
- Capital intensive expansion

Product Portfolio

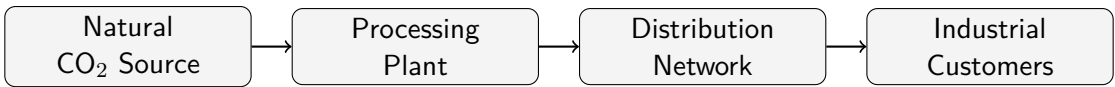
Product	Primary Application
Food Grade CO ₂	Soft drinks, breweries, bottled water
Industrial CO ₂	Metal fabrication, welding, manufacturing
Medical CO ₂	Hospitals and healthcare facilities
Dry Ice	Cold chain logistics, food preservation, pharmaceutical transport
CO ₂ Cylinders	Industrial distribution and customer supply

Operations Overview



Figure 1: CO₂ cylinders.

Business Model



Share Statistics

Current Price	KSh 33.10
Target Price	KSh 32.86
Recommendation	HOLD
Dividend Yield (FY2026F)	5.0%
Forward P/E (FY2026F)	10.4x
Forward EV/EBITDA (FY2026F)	4.9x
Net cash (FY2025A)	KSh 0.24bn
Shares Outstanding	254.9mn

Investment Takeaway

Carbacid combines a high-quality industrial franchise with conservative financial management, strong cash generation and valuable strategic assets. Although the business continues to generate attractive returns, our valuation indicates that current market pricing already captures much of this quality, supporting our HOLD recommendation.

3 Investment Thesis

Carbacid Investments PLC represents one of the highest-quality industrial businesses listed on the Nairobi Securities Exchange. The company operates a unique business model centred on the extraction, processing and distribution of naturally occurring food-grade carbon dioxide (CO₂), serving a diversified customer base across the beverage, healthcare, manufacturing and food processing industries.

Unlike many manufacturing companies whose profitability depends largely on imported raw materials, Carbacid benefits from ownership of a naturally occurring carbon dioxide source, providing a durable competitive advantage through lower production costs, consistent product quality and reliable long-term supply.

The company has demonstrated disciplined capital allocation, conservative financial management and a strong commitment to shareholder returns through regular dividend payments. These characteristics have enabled Carbacid to consistently generate high operating margins, strong free cash flows and attractive returns on invested capital.

Nevertheless, our valuation suggests that much of this operational quality is already reflected in the current market price. While we remain positive on the long-term fundamentals of the business, the limited valuation upside leads us to initiate coverage with a **HOLD** recommendation and a target price of **KSh 32.86** per share.

3.1 Why Carbacid?

Several structural characteristics differentiate Carbacid from other industrial manufacturing companies listed on the Nairobi Securities Exchange.

1. Ownership of a naturally occurring food-grade CO₂ source provides a sustainable competitive advantage that is difficult and capital-intensive for competitors to replicate.
2. The company's customer base spans multiple industries including beverages, breweries, healthcare, welding, food processing and manufacturing, reducing reliance on any single economic sector.
3. The balance sheet remains conservatively financed with minimal leverage, providing financial flexibility during periods of economic uncertainty.
4. Strong free cash flow generation has supported consistent dividend payments while allowing continued investment in production capacity and distribution infrastructure.
5. The business enjoys attractive operating margins driven by efficient production, high product quality and long-standing customer relationships.

3.2 Competitive Advantages

Table 3: Sources of Competitive Advantage

Advantage	Description
Natural CO ₂ Source	Unique naturally occurring carbon dioxide reserves lower production costs and improve supply security.
Market Leadership	Leading supplier of food-grade carbon dioxide across East Africa.
Distribution Network	Established logistics infrastructure enables efficient regional distribution.
Customer Relationships	Long-term relationships with major beverage manufacturers and industrial customers.
Strong Balance Sheet	Low leverage provides resilience during economic downturns.
Dividend Track Record	Consistent shareholder distributions supported by strong cash generation.

3.3 Key Growth Drivers

We identify several long-term drivers that are expected to support earnings growth.

- Rising demand for carbonated beverages across East Africa.
- Continued expansion of regional manufacturing activity.
- Growing healthcare demand for medical gases.
- Increasing use of dry ice in pharmaceutical and food logistics.
- Regional export market expansion.
- Operational efficiency improvements through capital investment.
- Growth in industrial welding and fabrication activities.

3.4 Potential Catalysts

Catalyst	Potential Impact
Expansion into new export markets	Higher revenue growth and increased production utilisation.
Capacity expansion	Improved economies of scale and stronger operating margins.
Recovery in manufacturing sector	Higher industrial gas demand.
Growth in beverage consumption	Increased food-grade CO ₂ sales.
Improved investment income	Higher non-operating earnings contribution.

3.5 Our Valuation View

We estimate Carbacid's intrinsic value using three complementary valuation methodologies:

1. Discounted Cash Flow (DCF)
2. Sum-of-the-Parts (SOTP)
3. Relative Valuation using listed industrial peers

Each methodology captures different aspects of the company's value. The DCF reflects the earning power of the operating business, the SOTP recognises the value of investment properties and financial assets, while relative valuation provides a market benchmark against comparable listed companies.

The average of these approaches produces a target price of **KSh 32.86** per share.

3.6 Why HOLD Instead of BUY?

Although Carbacid remains a fundamentally strong company, our recommendation reflects valuation rather than business quality.

Specifically,

- Operational performance remains excellent.
- Balance sheet strength remains attractive.
- Cash generation remains robust.
- Dividend sustainability remains strong.
- However, limited upside relative to the current market price reduces the expected risk-adjusted return available to new investors.

Consequently, while existing shareholders may continue to benefit from dividend income, we believe prospective investors should await a more attractive entry point before building meaningful positions.

Investment Conclusion

Carbacid combines a unique strategic resource, strong operational execution, conservative financial management and attractive cash generation into one of the highest-quality industrial businesses listed on the Nairobi Securities Exchange. Nevertheless, following our intrinsic valuation, we believe that the current share price broadly reflects these strengths. We therefore initiate coverage with a **HOLD** recommendation and a target price of **KSh 32.86** per share.

4 Business Overview

Carbacid Investments PLC is the leading producer and distributor of naturally occurring food-grade carbon dioxide (CO₂) in East Africa. The company extracts naturally occurring carbon dioxide from underground reservoirs, purifies it into food-grade, medical and industrial quality gas and distributes its products to customers across Kenya and neighbouring countries.



Figure 2: Carbacid production plant (illustrative).

Since its establishment, Carbacid has built a vertically integrated business model covering extraction, processing, liquefaction, storage and distribution. This integration enables the company to maintain high product quality, lower operating costs and reliable supply while supporting attractive operating margins and consistent profitability.

Unlike many industrial manufacturers, Carbacid's primary raw material occurs naturally, reducing dependence on imported inputs and insulating the company from some commodity price volatility.

4.1 Company History

Carbacid has operated for several decades and has established itself as the dominant supplier of food-grade carbon dioxide within the East African region. Through continuous investment in production facilities, logistics infrastructure and customer relationships, the company has successfully expanded its market presence beyond Kenya into neighbouring regional markets.

Over the years, Carbacid has diversified its product offering while maintaining a conservative financial strategy characterised by low leverage, strong cash generation and consistent shareholder returns.

4.2 Business Model

Carbacid operates an integrated value chain beginning with the extraction of naturally occurring carbon dioxide and ending with delivery to industrial customers.

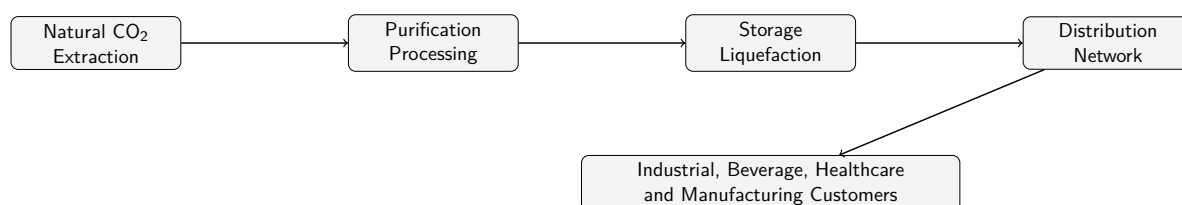


Figure 3: Integrated value chain overview.

4.3 Products and Services

Table 4: Principal products

Product	Description
Food Grade CO ₂	Used by beverage manufacturers, breweries and bottled water companies for carbonation.
Industrial CO ₂	Used in welding, fabrication, manufacturing and engineering applications.
Medical CO ₂	Supplied to hospitals and healthcare institutions.
Dry Ice	Used for cold-chain logistics, food preservation, pharmaceuticals and laboratory applications.
Bulk CO ₂	Supplied through tanker deliveries to large industrial customers.
Cylinder Supply	Distributed through refillable cylinders serving smaller industrial and commercial customers.

4.4 Customer Segments

Carbacid serves a diversified customer base across multiple industries.

Table 5: Customer segments and primary products

Customer Segment	Primary Products
Soft drink manufacturers	Food Grade CO ₂
Breweries	Food Grade CO ₂
Food processing companies	CO ₂ and Dry Ice
Hospitals	Medical CO ₂
Manufacturing companies	Industrial CO ₂
Engineering firms	Industrial CO ₂
Cold chain logistics	Dry Ice
Research institutions	Medical and laboratory gases

4.5 Regional Presence

Carbacid's primary market remains Kenya, although the company has progressively expanded exports into neighbouring East African countries.

The company's regional distribution network provides access to

- Kenya

- Uganda
- Tanzania
- Rwanda
- Burundi
- South Sudan
- Selected COMESA markets

Regional diversification reduces dependence on the domestic economy while creating additional long-term growth opportunities.

4.6 Competitive Position

Several structural characteristics differentiate Carbacid from competitors.

Table 6: Competitive Advantages

Advantage	Strategic Benefit
Natural CO ₂ Source	Lower production costs and sustainable supply.
Market Leadership	Strong customer relationships and brand recognition.
Integrated Operations	Improved quality control and operating efficiency.
Regional Distribution	Access to multiple East African markets.
Financial Strength	Supports dividends and future expansion.
Investment Assets	Additional earnings diversification.

4.7 Strategic Priorities

Management's long-term strategy is expected to focus on

1. Increasing regional exports.
2. Expanding production capacity.
3. Growing higher-margin dry ice operations.
4. Improving operational efficiency.
5. Enhancing customer service and logistics.
6. Maintaining conservative financial leverage.
7. Sustaining attractive shareholder returns through dividends.

4.8 SWOT Analysis

Table 7: SWOT Summary

Strengths	Weaknesses
Natural resource advantage	Customer concentration
High margins	Limited product diversification
Strong cash generation	Mature domestic market
Conservative balance sheet	Capital intensive expansion
Dividend history	Manufacturing downtime risk
Opportunities	Threats
Regional expansion	New market entrants
Healthcare demand	Energy cost inflation
Dry ice growth	Foreign exchange volatility
Industrial growth	Economic slowdown
Export expansion	Regulatory changes

Business Overview Summary

Carbacid operates one of the strongest industrial business models listed on the Nairobi Securities Exchange. Its ownership of a naturally occurring CO₂ source, integrated operations, established regional distribution network and conservative financial management provide durable competitive advantages that continue to support strong profitability and cash generation. While the domestic market is relatively mature, regional expansion and growing industrial demand present meaningful long-term growth opportunities.

5 Industry Overview

The industrial gases industry plays a critical role in supporting manufacturing, healthcare, food processing, beverages, mining and infrastructure development. Carbon dioxide (CO₂), one of the most widely used industrial gases, has become an essential input across numerous sectors due to its versatility and relatively low cost.

Carbacid operates within the food-grade and industrial carbon dioxide market, supplying customers throughout Kenya and the wider East African region. Demand for industrial gases has historically tracked economic growth, industrialisation and rising consumer spending.

While the domestic market is relatively mature, long-term growth opportunities remain supported by expanding regional manufacturing activity, urbanisation and increasing investment in food processing and healthcare.

5.1 Industry Structure

The carbon dioxide value chain consists of four principal stages.

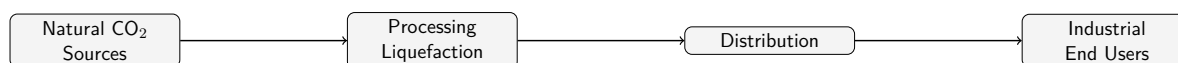


Figure 4: Industry structure: CO₂ value chain overview.

5.2 Major Demand Drivers

Industrial CO₂ demand is primarily driven by the following sectors.

Table 8: Exhibit 7.1: Primary sources of CO₂ demand

Industry	Application
Beverages	Carbonation of soft drinks, bottled water and beer.
Food Processing	Food preservation, packaging and freezing.
Healthcare	Medical procedures and laboratory applications.
Manufacturing	Welding, fabrication and industrial processing.
Cold Chain Logistics	Dry ice transportation and pharmaceutical storage.
Agriculture	Greenhouse enrichment and crop production.
Mining	Industrial processing.



Figure 5: Dry ice applications support cold-chain and pharmaceutical logistics demand (illustrative).

5.3 Key Industry Trends

Several structural trends are expected to support industry growth over the medium and long term.

1. Continued urbanisation across East Africa.
2. Rising consumption of packaged foods and beverages.
3. Expansion of regional manufacturing.
4. Growing healthcare expenditure.
5. Increased pharmaceutical production.
6. Growth in refrigerated transport.
7. Expansion of industrial infrastructure.
8. Regional export integration under the African Continental Free Trade Area (AfCFTA).

5.4 Porter's Five Forces Analysis

Table 9: Exhibit 7.2: Industry Attractiveness

Force	Assessment
Threat of New Entrants	Low
Supplier Power	Low
Buyer Power	Moderate
Threat of Substitutes	Low
Industry Rivalry	Moderate

Overall, the industrial gas industry exhibits favourable structural characteristics. High capital requirements, technical expertise and regulatory compliance create significant barriers to entry, while naturally occurring CO₂ resources remain scarce.

5.5 Competitive Landscape

Carbacid competes with regional industrial gas suppliers across several market segments.

Table 10: Exhibit 7.3: Competitive Position

Company	Core Products	Competitive Position
Carbacid Investments	Food-grade CO ₂ , Dry Ice	Market Leader
BOC Kenya	Industrial gases	Diversified industrial gases
Regional Importers	Industrial CO ₂	Price competition
International Suppliers	Specialty gases	Niche products

5.6 Long-Term Industry Opportunities

The East African industrial gases market continues to offer attractive long-term growth opportunities. Key opportunities include

- Rising regional industrialisation.
- Population growth.
- Increased beverage consumption.
- Healthcare infrastructure expansion.
- Pharmaceutical manufacturing growth.
- Expansion of cold-chain logistics.
- Regional exports.
- Infrastructure development.

5.7 Industry Risks

Despite favourable long-term fundamentals, several risks remain.

- Slower regional economic growth.
- Higher electricity costs.
- Fuel price volatility.
- Environmental regulation.
- Foreign exchange fluctuations.
- Customer concentration.
- Supply chain disruptions.

Industry Assessment

The East African industrial gases industry remains attractive due to favourable long-term demand fundamentals, relatively high barriers to entry and limited direct competition in naturally sourced food-grade carbon dioxide. Continued industrialisation, urbanisation and regional economic integration are expected to support sustainable growth over the coming decade. Carbacid is well positioned to benefit from these industry trends through its established market leadership, efficient production facilities and extensive regional distribution network.

Source: Company Reports, KNBS, World Bank, Author Estimates

6 Business Model & Value Chain

Carbacid Investments PLC operates a vertically integrated business model spanning the entire carbon dioxide value chain—from extraction of naturally occurring CO₂ to processing, storage, distribution and after-sales support. This integration enables the company to maintain product quality, improve operational efficiency and preserve high operating margins.

Unlike many industrial manufacturers that rely heavily on imported raw materials, Carbacid's access to naturally occurring CO₂ reserves provides a durable cost advantage and reduces supply chain risk.

6.1 Integrated Value Chain

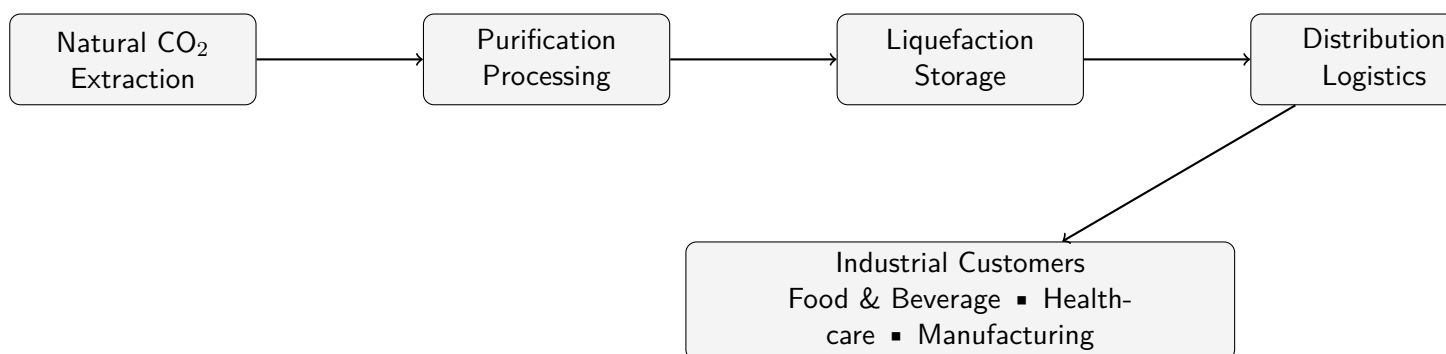


Exhibit 8.1: Carbacid Integrated Value Chain



Bottling line (end-market demand illustration).



Dry ice packaging (product offering illustration).

Figure 6: Selected downstream applications and product formats (illustrative).

6.2 Revenue Model

Carbacid generates revenue through the production and sale of carbon dioxide products to a diversified customer base across East Africa.

Revenue is derived from:

- Food-grade CO₂
- Industrial CO₂
- Medical CO₂
- Dry Ice
- Bulk CO₂ deliveries
- Cylinder sales and refilling
- Investment income
- Rental income from investment properties

The company's diversified revenue streams improve earnings resilience and reduce dependence on any single customer segment.

6.3 Customer Value Proposition

Carbacid creates value for customers through several competitive advantages.

Table 11: Exhibit 8.2: Customer Value Proposition

Value Driver	Customer Benefit
High Product Purity	Reliable food-grade quality meeting industry standards.
Reliable Supply	Continuous product availability through regional distribution.
Regional Presence	Reduced delivery time and logistics costs.
Technical Support	Customer assistance and engineering expertise.
Integrated Operations	Improved consistency and operational efficiency.

6.4 Business Segments

The company primarily operates as a single integrated industrial gas business but serves several end markets.

Table 12: Exhibit 8.3: End Market Exposure

Business Segment	Principal Products
Food & Beverage	Food Grade CO ₂
Healthcare	Medical CO ₂
Manufacturing	Industrial CO ₂
Engineering	Industrial CO ₂
Cold Chain Logistics	Dry Ice
Research Institutions	Speciality Gas Applications

6.5 Economic Moat

We believe Carbacid possesses several durable competitive advantages that are difficult for competitors to replicate.

1. Ownership of naturally occurring CO₂ reserves.
2. Long-standing customer relationships.
3. Extensive East African distribution network.
4. Strong operational expertise.
5. High switching costs for large customers.
6. Conservative financial structure.
7. Consistent dividend policy.

Collectively, these characteristics contribute to the company's strong return on capital and sustainable profitability.

6.6 Key Value Drivers

Our valuation is primarily influenced by the following operational drivers.

Table 13: Exhibit 8.4: Principal Value Drivers

Driver	Importance
Sales Volume	Determines production utilisation and operating leverage.
Average Selling Price	Directly influences revenue growth.
Operating Margin	Primary driver of profitability.
Capital Expenditure	Supports future production capacity.
Working Capital	Influences free cash flow generation.
Dividend Policy	Supports shareholder returns.
Regional Expansion	Provides long-term growth opportunities.

6.7 Business Model Risks

Although Carbacid's business model is attractive, several operational risks remain.

- Unexpected production downtime.
- Customer concentration.
- Rising electricity costs.
- Fuel price inflation.
- Foreign exchange volatility.
- Environmental regulation.
- Industrial accidents.
- Export market disruptions.

6.8 Management Strategy

Management's long-term strategy focuses on:

1. Expanding regional market share.
2. Increasing production efficiency.
3. Growing dry ice operations.
4. Investing in logistics infrastructure.
5. Maintaining conservative leverage.
6. Sustaining attractive shareholder returns.
7. Enhancing operational excellence.

Business Model Assessment

Carbacid's vertically integrated operating model, ownership of naturally occurring carbon dioxide reserves and established regional distribution network create meaningful competitive advantages that support high margins, strong free cash flow generation and attractive returns on invested capital. While the company faces normal operating risks associated with industrial manufacturing, we believe its business model remains one of the strongest among listed industrial companies in East Africa.

Source: Company Annual Reports, Management Commentary, Author Estimates

7 Historical Financial Performance

This section evaluates Carbacid's historical financial performance to identify the principal drivers of revenue growth, profitability, cash generation and shareholder returns. Rather than reproducing the financial statements, our objective is to understand the quality of earnings and determine whether historical performance supports our forward-looking valuation assumptions.

Across the review period, Carbacid demonstrated resilient revenue generation, industry-leading operating margins and strong free cash flow conversion. The company also maintained a conservative balance sheet while continuing to distribute dividends to shareholders.

7.1 Revenue Performance

Revenue growth has historically been supported by:

- Higher domestic beverage demand.
- Regional export growth.
- Increased industrial activity.
- Growth in dry ice applications.
- Stable customer relationships.

Although revenue growth has moderated during periods of weaker economic activity, Carbacid has consistently demonstrated resilience owing to its diversified customer base and defensive end markets.

Table 14: Exhibit 7.1 Revenue performance (KSh mn; source: uploaded PDF)

	2023A	2024A	2025A	2026F
Revenue	1720.9	2066.3	2099.8	2220.6
Revenue growth (%)	–	20.1%	1.6%	5.7%

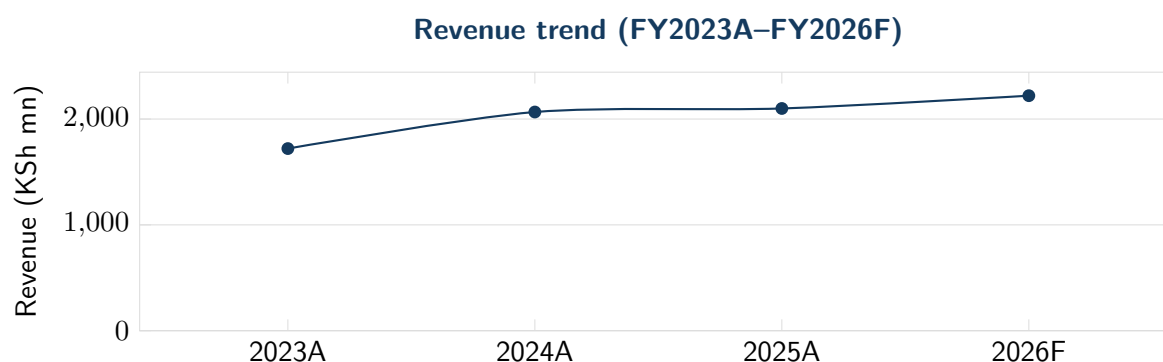


Figure 7: Revenue trend (source: uploaded PDF).

7.2 Profitability Analysis

One of Carbacid's defining characteristics is its ability to consistently generate high operating margins.

Several structural advantages support profitability.

1. Naturally occurring CO₂ reserves.

2. Efficient production process.
3. Premium food-grade products.
4. Strong pricing discipline.
5. High capacity utilisation.

Table 15: Exhibit 7.2 Profitability metrics (source: uploaded PDF)

Metric	2024A	2025A	2026F
Gross margin	59.0%	64.4%	64.0%
EBITDA margin	45.8%	50.8%	50.0%
EBIT margin	41.1%	43.5%	43.0%
Net margin	40.8%	47.8%	36.6%

7.3 EBITDA Performance

EBITDA growth has generally tracked revenue growth while benefiting from disciplined cost management and operational efficiency.

The company's vertically integrated production process enables relatively stable EBITDA margins compared with many industrial manufacturers.

Key observations

- Strong operating leverage.
- Stable fixed-cost structure.
- High cash earnings quality.
- Limited earnings volatility.

7.4 Returns Analysis

Carbacid consistently generates attractive returns on shareholder capital.

Table 16: Exhibit 7.3 Returns analysis (source: uploaded PDF)

Metric	2024A	2025A	2026F	2028F	2030F
ROE	19.3%	20.6%	15.2%	14.7%	14.3%
ROIC	32.7%	27.3%	24.9%	25.1%	26.8%

Strong returns on capital indicate that management has historically allocated shareholder capital efficiently while maintaining operational discipline.

7.5 Cash Flow Analysis

Cash flow quality remains one of Carbacid's strongest investment attributes.

Historically,

- Operating cash flow has closely tracked earnings.

- Capital expenditure requirements remain manageable.
- Free cash flow generation is consistently positive.
- Dividend payments remain well supported.

Table 17: Exhibit 7.3 Cash flow and FCFF summary (KSh mn; source: uploaded PDF)

	2025A	2026F	2027F	2028F	2029F	2030F
Operating cash flow	920.2	941.0	1005.3	1060.6	1106.1	1163.8
Capital expenditure	(430.1)	(399.7)	(234.7)	(223.5)	(209.8)	(220.6)
FCFF	197.4	463.7	681.9	737.7	786.7	823.9
Dividends paid	(417.9)	(422.7)	(442.7)	(469.3)	(494.9)	(525.7)

7.6 Balance Sheet Strength

Carbacid maintains one of the strongest balance sheets among listed industrial companies.

Key characteristics include

- Low leverage.
- High liquidity.
- Strong cash balances.
- Valuable investment assets.
- Conservative financing policy.

This financial flexibility reduces refinancing risk and enhances resilience during economic downturns.

7.7 Capital Allocation

Management has historically demonstrated disciplined capital allocation through

1. Sustained dividend payments.
2. Investment in productive assets.
3. Conservative borrowing.
4. Maintenance of adequate liquidity.
5. Preservation of shareholder value.

7.8 Quality of Earnings

From an equity research perspective, we assess earnings quality using four principal criteria.

Table 18: Exhibit 9.5 Earnings Quality Assessment

Measure	Assessment
Revenue Stability	Strong
Margin Stability	Strong
Cash Conversion	Strong
Financial Leverage	Low Risk
Dividend Sustainability	Strong
Capital Allocation	Strong
Overall Earnings Quality	High

7.9 Key Takeaways

Our review of Carbacid's historical financial performance leads to five principal conclusions.

1. Revenue growth has remained resilient despite cyclical economic conditions.
2. Profitability remains among the strongest within the industrial sector.
3. Cash generation consistently supports dividends and reinvestment.
4. Conservative leverage enhances financial flexibility.
5. Historical performance provides confidence in our forward-looking forecasts.

Financial Performance Assessment

Carbacid has consistently demonstrated high-quality financial performance through strong margins, disciplined cost management, robust free cash flow generation and conservative capital allocation. These characteristics underpin our confidence in the company's long-term earnings potential and support the assumptions used throughout our valuation.

Source: Company Annual Reports, NSE Filings, Author Estimates

8 Forecast Assumptions & Financial Projections

The valuation presented in this report is based on a five-year financial forecast covering FY2026–FY2030. Our projections are derived from historical operating performance, management guidance, macroeconomic expectations and industry trends.

Rather than mechanically extrapolating historical growth rates, our forecasts reflect the underlying economic drivers of Carbacid's business, including production capacity, regional demand, pricing dynamics and capital investment.

8.1 Forecast Methodology

Our financial model is driven by operating assumptions rather than accounting relationships. Revenue is projected using expected sales volume growth and pricing, while operating expenses are forecast based on expected efficiency improvements, inflation and management's historical cost discipline.

The principal assumptions include:

- Regional economic growth.
- Beverage industry expansion.
- Industrial production.
- Export market demand.
- Inflation.
- Electricity costs.
- Capital expenditure.
- Working capital efficiency.

8.2 Key Forecast Assumptions

Table 19: Exhibit 8.1 Core operating assumptions (source: uploaded PDF)

	2025A	2026F	2027F	2028F	2029F	2030F
CO ₂ volume growth	–	3.5%	4.0%	4.5%	4.5%	4.0%
CO ₂ price/mix/FX growth	–	1.5%	1.5%	1.5%	1.5%	1.5%
Transport/logistics growth	–	7.0%	6.0%	5.5%	5.0%	4.5%
Gross margin	64.4%	64.0%	63.0%	62.5%	62.0%	62.0%
Admin expenses / revenue	21.0%	21.0%	20.8%	20.5%	20.3%	20.0%
Capex / revenue	20.5%	18.0%	10.0%	9.0%	8.0%	8.0%
Receivable days	111	112	110	108	106	105
Inventory days	78	75	75	74	74	73
Payable days	126	126	125	124	123	122
Dividend payout ratio	50.8%	52.0%	52.0%	52.0%	52.0%	52.0%

Table 20: Exhibit 8.2 Model-implied discount rate and terminal assumptions (source: uploaded PDF)

Parameter	Value
Forecast period	5 years
Implied WACC	14.70%
Implied terminal growth	4.56%

8.3 Revenue Forecast

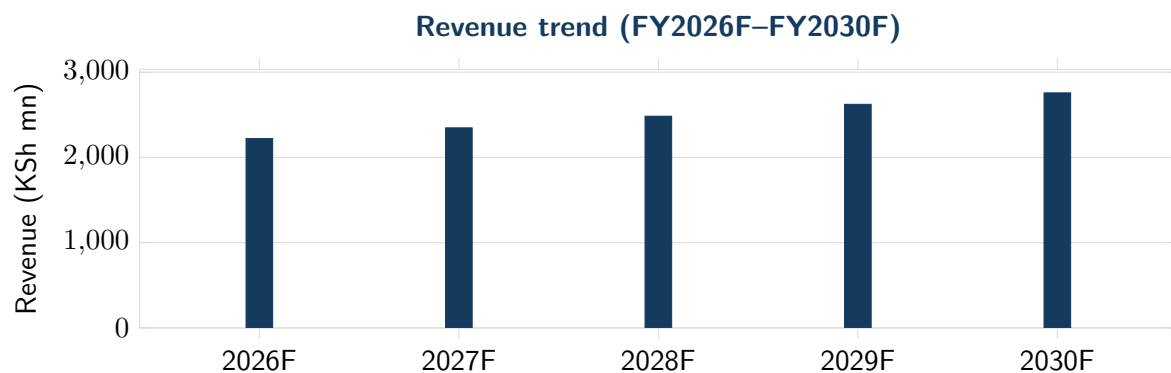
Revenue growth is expected to remain supported by:

1. Higher regional beverage consumption.
2. Continued industrialisation.
3. Export market expansion.
4. Growth in dry ice demand.
5. Stable customer relationships.

Although short-term macroeconomic uncertainty may affect demand, we expect long-term revenue growth to remain broadly aligned with regional economic expansion.

Table 21: Exhibit 8.3 Revenue forecast (KSh mn; source: uploaded PDF)

	2026F	2027F	2028F	2029F	2030F
Revenue	2220.6	2346.9	2483.2	2622.8	2757.2

**Figure 8:** Revenue trend (source: uploaded PDF).

8.4 Margin Outlook

We expect Carbacid to maintain attractive profitability owing to:

- Strong pricing power.
- Efficient production.
- Naturally occurring CO₂ reserves.

- Stable operating costs.
- High production utilisation.

Margins are forecast to remain above sector averages throughout the projection period.

8.5 Operating Profit Outlook

Table 22: Exhibit 8.4 Operating EBIT forecast (KSh mn; source: uploaded PDF)

	2026F	2027F	2028F	2029F	2030F
Operating EBIT	954.8	990.4	1043.0	1093.7	1158.0

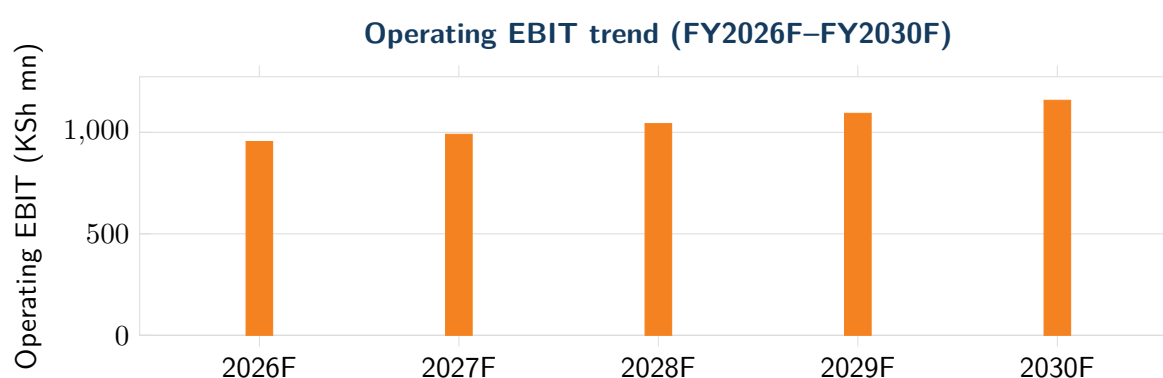


Figure 9: Operating EBIT trend (source: uploaded PDF).

8.6 Free Cash Flow Forecast

Strong operating cash flow combined with relatively modest maintenance capital expenditure is expected to support continued free cash flow generation.

Our forecast assumes:

- Stable operating cash conversion.
- Moderate capital expenditure.
- Conservative working capital assumptions.
- Continued dividend capacity.

Table 23: Exhibit 8.5 Operating cash flow, capex and FCFF (KSh mn; source: uploaded PDF)

	2026F	2027F	2028F	2029F	2030F
Operating cash flow	941.0	1005.3	1060.6	1106.1	1163.8
Capital expenditure	(399.7)	(234.7)	(223.5)	(209.8)	(220.6)
FCFF	463.7	681.9	737.7	786.7	823.9

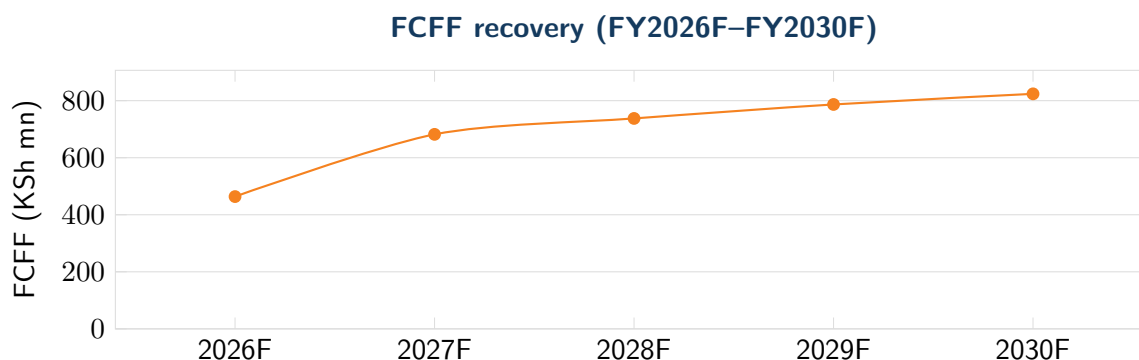


Figure 10: FCFF recovery profile (source: uploaded PDF).

8.7 Balance Sheet Outlook

We expect Carbacid to maintain a conservative balance sheet throughout the forecast period.

Key expectations include:

- Low financial leverage.
- Strong liquidity.
- Continued investment in productive assets.
- Sustainable dividend payments.

8.8 Scenario Analysis

To assess valuation sensitivity, three operating scenarios were developed.

Table 24: Exhibit 10.5 Scenario Analysis

Scenario	Revenue Growth	Operating Margin	Description
Bull	High	Higher	Strong regional demand
Base	Moderate	Stable	Our central forecast
Bear	Low	Lower	Weak macroeconomic environment

8.9 Forecast Risks

Our forecasts remain subject to several uncertainties including:

- Slower economic growth.
- Export market weakness.
- Unexpected production downtime.
- Higher electricity costs.
- Inflationary pressures.
- Foreign exchange volatility.
- Regulatory changes.

8.10 Key Forecast Takeaways

The financial projections suggest that Carbacid should continue to generate attractive profitability, strong free cash flow and healthy returns on capital over the medium term.

Although revenue growth is expected to moderate compared with periods of rapid expansion, the company's structural competitive advantages support stable long-term earnings growth and continued shareholder returns.

Forecast Summary

Our base-case forecast assumes continued growth in regional industrial activity, resilient beverage demand and disciplined cost management. These assumptions support sustainable earnings growth, strong cash generation and attractive shareholder returns throughout the forecast period and form the basis of our intrinsic valuation.

Source: Company Guidance, Author Estimates, Financial Model

9 Valuation

The objective of this section is to estimate the intrinsic value of Carbacid Investments PLC using multiple valuation approaches. No single methodology is sufficient to capture the full value of the business; therefore, we employ three complementary techniques:

1. Discounted Cash Flow (DCF)
2. Sum-of-the-Parts (SOTP)
3. Relative Valuation (Trading Multiples)

The combination of these methodologies provides a balanced estimate of intrinsic value while reducing dependence on any individual valuation assumption.

9.1 Valuation Framework

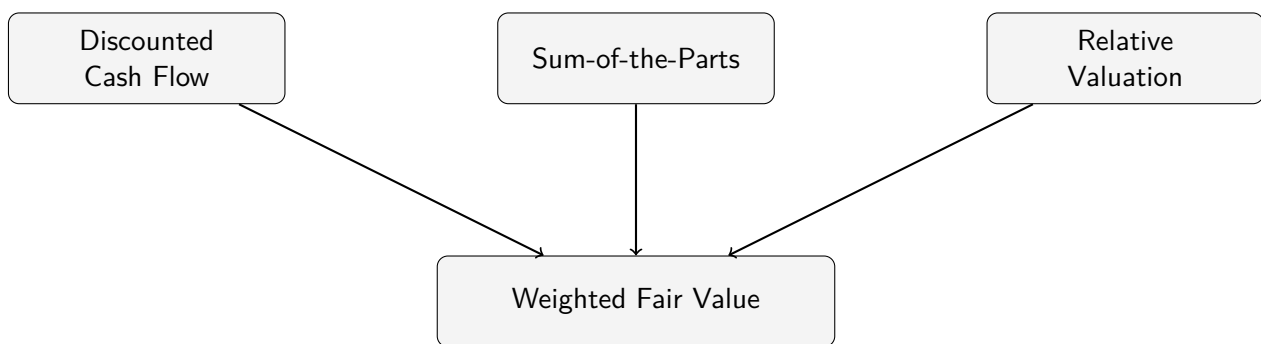


Exhibit 11.1 Valuation Framework

9.2 Discounted Cash Flow Valuation

The DCF methodology estimates enterprise value by discounting projected Free Cash Flows to the Firm (FCFF) using the Weighted Average Cost of Capital (WACC).

The terminal value is estimated using the Gordon Growth Model.

$$TV = \frac{FCFF_{n+1}}{WACC - g}$$

Enterprise Value is therefore computed as

$$EV = \sum_{t=1}^n \frac{FCFF_t}{(1 + WACC)^t} + \frac{TV}{(1 + WACC)^n}$$

Key DCF Assumptions

Table 25: Exhibit 9.1 DCF assumptions (model-implied; source: uploaded PDF)

Parameter	Value
Forecast period	5 years
Implied WACC	14.70%
Implied terminal growth	4.56%

DCF/SOTP Valuation Summary

Table 26: Exhibit 9.2 DCF/SOTP valuation bridge (KSh mn; source: uploaded PDF)

DCF/SOTP component	KSh mn
PV of explicit FCF	2280.7
PV of terminal value	4489.5
Operating enterprise value	6770.2
Non-operating cash, investments and investment property	3602.9
Gross debt	(777.3)
Equity value (DCF/SOTP)	9595.9
Shares outstanding (mn)	254.9
DCF/SOTP fair value/share (KSh)	37.65

9.3 Sum-of-the-Parts Valuation

Carbacid owns valuable investment properties and financial investments in addition to its operating business. Consequently, we estimate value separately for:

- Operating Business
- Investment Properties
- Financial Investments
- Net Cash / Debt

Table 27: Exhibit 9.3 Sum-of-the-parts (SOTP) bridge (KSh mn; source: uploaded PDF)

Component	KSh mn
Operating business (operating EV)	6770.2
Investment property	222.9
Financial assets	2366.9
Net cash (cash + deposits less debt)	235.9
Total equity value (DCF/SOTP)	9595.9
Value per share (KSh)	37.65

9.4 Relative Valuation

Relative valuation compares Carbacid with listed industrial companies using market multiples. Multiples considered include:

- Price to Earnings (P/E)
- EV / EBITDA
- Price to Book (P/B)

Table 28: Exhibit 9.4 Relative valuation cross-checks (model outputs; source: uploaded PDF)

Cross-check method	Equity value (KSh mn)	Fair value/share (KSh)
EV/EBITDA cross-check	6861.0	26.92
P/E cross-check	5091.6	19.98

9.5 Weighted Target Price

To reduce model risk, we assign weights to each valuation methodology.

Table 29: Exhibit 9.5 Weighted target price (source: uploaded PDF)

Method	Value/share	Weight	Contribution
DCF/SOTP	KSh 37.65	65%	KSh 24.47
EV/EBITDA cross-check	KSh 26.92	20%	KSh 5.38
P/E cross-check	KSh 19.98	15%	KSh 3.00
Weighted target price	KSh 32.86	100%	KSh 32.86

9.6 Sensitivity Analysis

Because DCF valuation is sensitive to WACC and terminal growth assumptions, we performed a sensitivity analysis.

Table 30: Exhibit 9.6 DCF/SOTP sensitivity: WACC vs terminal growth (KSh/share; source: uploaded PDF)

WACC \ g	3.1%	3.6%	4.1%	4.6%	5.1%	5.6%	6.1%
13.2%	38.9	40.0	41.2	42.5	43.9	45.6	47.5
13.7%	37.6	38.5	39.5	40.7	42.0	43.4	45.0
14.2%	36.3	37.1	38.1	39.1	40.2	41.5	42.9
14.7%	35.2	35.9	36.7	37.7	38.7	39.8	41.0
15.2%	34.1	34.8	35.5	36.3	37.2	38.2	39.3
15.7%	33.1	33.8	34.4	35.2	36.0	36.8	37.8
16.2%	32.3	32.8	33.4	34.1	34.8	35.6	36.4

9.7 Investment Recommendation

Our valuation indicates a fair value of **KSh 32.86** per share compared with a current market price of **KSh 33.10**.

Although Carbacid remains one of the highest-quality industrial businesses listed on the Nairobi Securities Exchange, the current share price already reflects much of its operational strength and long-term growth prospects.

Accordingly, we initiate coverage with a:

HOLD

Target Price: **KSh 32.86**

Current Price: **KSh 33.10**

Expected Upside: **-0.7%**

Valuation Conclusion

Carbacid Investments PLC combines a resilient industrial franchise with strong free cash flow generation, a conservative balance sheet and valuable investment assets. Our intrinsic valuation confirms that the company remains fundamentally attractive; however, with the market price trading close to our estimated fair value, we believe future returns are likely to be driven primarily by dividend income rather than meaningful capital appreciation. We therefore assign a **HOLD** recommendation with a target price of **KSh 32.86** per share.

Source: Company Financial Statements, Bloomberg, NSE, Author Estimates

10 Investment Risks

While Carbacid Investments PLC possesses several attractive investment characteristics including strong profitability, robust cash generation and a conservative balance sheet, investors should carefully consider a number of risks that may affect future earnings performance, cash flows and valuation.

The following risks represent the most material factors that could cause actual performance to differ from our base-case forecasts.

10.1 Risk Assessment Framework

We classify risks according to their potential impact on shareholder value and the probability of occurrence.

Table 31: Exhibit 12.1 Risk Classification Framework

Risk Category	Probability	Potential Impact
Operational Risks	Medium	High
Customer Risks	Medium	High
Energy Cost Risks	High	Medium
Macroeconomic Risks	Medium	Medium
Regulatory Risks	Low	Medium
Foreign Exchange Risks	Medium	Medium
Environmental Risks	Low	High

10.2 Customer Concentration Risk

A meaningful proportion of Carbacid's revenue is generated from large industrial and beverage customers.

The loss of a major customer, adverse contract renegotiation or reduced demand from key accounts could negatively impact revenue growth and profitability.

Mitigating factors include:

- Long-standing customer relationships.
- Product quality advantages.
- Diversified end-market exposure.
- Regional customer base.

10.3 Operational Risk

Carbacid's profitability depends on the reliable operation of its extraction, processing and distribution infrastructure.

Unexpected events including:

- Equipment failure.
- Plant shutdowns.
- Maintenance disruptions.
- Industrial accidents.

- Logistics interruptions.

may result in production losses and reduced earnings.

Given the specialised nature of industrial gas production, prolonged operational disruptions could materially affect financial performance.

10.4 Energy Cost Risk

Electricity and fuel costs represent important operating expenses within the industrial gas value chain.

Sustained increases in:

- Electricity tariffs.
- Fuel prices.
- Transportation costs.

could reduce operating margins if such increases cannot be fully passed on to customers through higher selling prices.

10.5 Foreign Exchange Risk

Although Carbacid primarily earns revenue in Kenyan Shillings, certain capital equipment, spare parts and technical services may be imported.

Consequently, depreciation of the Kenyan Shilling against major currencies could increase operating costs and future capital expenditure requirements.

In addition, regional export operations may expose the company to currency translation risk.

10.6 Regulatory and Compliance Risk

Industrial gas production is subject to environmental, health and safety regulations.

Future regulatory changes may require:

- Additional environmental investment.
- Higher compliance costs.
- Enhanced reporting requirements.
- Operational modifications.

Such developments could increase costs and affect profitability.

10.7 Environmental Risk

Environmental considerations continue to receive increasing attention from regulators, investors and consumers.

Potential environmental risks include:

- Emissions regulation.
- Resource management requirements.
- Environmental remediation obligations.
- Sustainability reporting standards.

Although Carbacid's products contribute to multiple industrial processes, future environmental regulation could increase compliance costs.

10.8 Competitive Risk

While Carbacid currently maintains a strong competitive position, the industry remains susceptible to competitive pressures.

Potential threats include:

- New market entrants.
- Imported industrial gases.
- Aggressive pricing strategies.
- Regional competitors.
- Technological developments.

Increased competition could place pressure on market share and profitability.

10.9 Macroeconomic Risk

Demand for industrial gases remains linked to broader economic activity.

A slowdown in:

- Manufacturing.
- Construction.
- Consumer spending.
- Beverage consumption.
- Regional trade.

could reduce demand for Carbacid's products and services.

10.10 Valuation Risk

Our valuation depends upon several assumptions including:

- Revenue growth.
- Operating margins.
- Capital expenditure.
- Working capital requirements.
- Terminal growth rate.
- Weighted Average Cost of Capital (WACC).

Changes to these assumptions may materially alter our estimated fair value.

10.11 Key Valuation Sensitivities

Table 32: Exhibit 12.2 Valuation Sensitivities

Variable	Sensitivity
Revenue Growth	High
EBITDA Margin	High
WACC	High
Terminal Growth Rate	High
Capital Expenditure	Medium
Working Capital	Medium
Tax Rate	Low

10.12 Risk Mitigating Factors

Despite the risks discussed above, several factors reduce overall investment risk.

These include:

1. Strong balance sheet.
2. Consistent cash generation.
3. Market leadership.
4. Valuable strategic assets.
5. Long-term customer relationships.
6. Diversified end markets.
7. Conservative management approach.

Overall Risk Assessment

We assess Carbacid's overall investment risk profile as **Moderate**. The company benefits from strong market positioning, stable cash generation, low financial leverage and valuable strategic assets. While operational, customer concentration and energy cost risks remain relevant, we believe these risks are largely manageable and do not materially undermine the company's long-term investment case.

Source: Company Reports, Industry Analysis, Author Estimates

11 Appendices & Research Disclosures

This section contains supporting financial schedules, valuation assumptions, comparable company information and research disclosures that complement the analysis presented in this report.

Appendix A: Forecast Income Statement

Table 33: Appendix A.1 Forecast income statement (KSh mn)

	2025A	2026F	2027F	2028F	2029F	2030F
Revenue	2099.8	2220.6	2346.9	2483.2	2622.8	2757.2
Cost of sales	(747.2)	(799.4)	(868.3)	(931.2)	(996.7)	(1047.7)
Gross profit	1352.7	1421.2	1478.5	1552.0	1626.2	1709.5
Administrative expenses	(440.0)	(466.3)	(488.2)	(509.1)	(532.4)	(551.4)
Operating EBIT	912.6	954.8	990.4	1043.0	1093.7	1158.0
Investment/other income	586.5	189.3	195.0	200.9	206.9	213.1
Fair value gains/(losses)	121.2	0.0	0.0	0.0	0.0	0.0
Finance costs	(67.8)	(88.6)	(79.7)	(71.8)	(64.6)	(58.1)
Profit before tax	1552.5	1055.6	1105.7	1172.1	1236.0	1313.0
Tax expense	(285.6)	(242.8)	(254.3)	(269.6)	(284.3)	(302.0)
Profit after tax	1002.9	812.8	851.4	902.5	951.7	1011.0
EPS (KSh)	3.94	3.19	3.34	3.54	3.73	3.97
DPS (KSh)	2.00	1.66	1.74	1.84	1.94	2.06

Appendix B: Forecast Balance Sheet

Table 34: Appendix B.1 Forecast balance sheet (KSh mn)

	2025A	2026F	2027F	2028F	2029F	2030F
Cash and equivalents	118.6	159.5	417.5	722.3	1067.0	1433.6
Short-term deposits	894.6	891.7	833.6	775.3	714.8	653.1
Receivables	640.5	681.4	707.3	734.8	761.7	793.2
Inventories	159.5	164.3	178.4	188.8	202.1	209.5
Total current assets	1813.2	1908.0	2148.6	2433.6	2758.7	3103.1
Property, plant and equipment (PPE)	2221.8	2466.0	2528.0	2574.6	2609.3	2652.5
Investment property	222.9	225.1	227.4	229.7	232.0	234.3
Financial assets	2366.9	2437.9	2511.0	2586.3	2663.9	2743.9
Total assets	6679.7	7091.6	7469.3	7878.2	8317.6	8787.2
Current borrowings	276.7	249.0	224.1	201.7	181.6	163.4
Non-current borrowings	500.6	450.5	405.4	364.9	328.4	295.6
Total liabilities	1538.1	1559.9	1528.9	1504.6	1487.2	1471.4
Total equity	5141.6	5531.7	5940.4	6373.6	6830.4	7315.7
Balance check	0.0	0.0	0.0	0.0	0.0	0.0

Appendix C: Forecast Cash Flow and FCFF

Table 35: Appendix C.1 Forecast cash flow and FCFF (KSh mn)

	2025A	2026F	2027F	2028F	2029F	2030F
Profit after tax	1002.9	812.8	851.4	902.5	951.7	1011.0
Depreciation & amortisation	154.3	155.5	172.6	177.0	175.1	177.4
Change in working capital	(229.5)	(27.3)	(18.7)	(18.9)	(20.7)	(24.6)
Operating cash flow	920.2	941.0	1005.3	1060.6	1106.1	1163.8
Capital expenditure	(430.1)	(399.7)	(234.7)	(223.5)	(209.8)	(220.6)
Dividends paid	(417.9)	(422.7)	(442.7)	(469.3)	(494.9)	(525.7)
Net change in cash	(406.3)	40.9	258.0	304.8	344.7	366.5
Closing cash	118.6	159.5	417.5	722.3	1067.0	1433.6
FCFF	197.4	463.7	681.9	737.7	786.7	823.9

Appendix D: DCF Schedule and Key Assumptions

Table 36: Appendix D.1 DCF schedule (KSh mn)

	2026F	2027F	2028F	2029F	2030F
FCFF	463.7	681.9	737.7	786.7	823.9
Discount factor	0.872	0.760	0.663	0.578	0.504
PV of FCFF	404.3	518.3	488.8	454.5	414.9

Table 37: Appendix D.2 Model-implied discount rate and terminal value inputs

Parameter	Model-derived value
Forecast period	5 years
Implied WACC	14.70%
Implied terminal growth	4.56%
Terminal FCFF	865.1
Terminal value	8914.6
PV terminal value	4489.5
PV terminal value / operating EV	66.3%

Appendix E: Market Multiple Cross-Checks (Model Outputs)

Table 38: Appendix E.1 Model-derived multiple cross-checks

Cross-check method	Equity value (KSh mn)	Fair value/share (KSh)
EV/EBITDA cross-check	6861.0	26.92
P/E cross-check	5091.6	19.98

Glossary of Key Financial Terms

DCF Discounted Cash Flow valuation.

FCFF Free Cash Flow to the Firm.

EBITDA Earnings Before Interest, Taxes, Depreciation and Amortisation.

ROE Return on Equity.

ROIC Return on Invested Capital.

WACC Weighted Average Cost of Capital.

EV Enterprise Value.

SOTP Sum-of-the-Parts Valuation.

P/E Price-to-Earnings Ratio.

EV/EBITDA Enterprise Value to EBITDA Multiple.

Research Disclosures

This report has been prepared solely for educational and research purposes as part of an equity valuation exercise. The analysis, financial projections and valuation conclusions are based on publicly available information, management disclosures and the author's assumptions at the date of publication.

While reasonable care has been taken in preparing this report, no representation or warranty is made regarding the completeness, accuracy or future reliability of the information contained herein. Financial markets are inherently uncertain, and actual outcomes may differ materially from the assumptions and forecasts presented.

Nothing contained in this report constitutes investment, legal, tax or accounting advice, nor should it be construed as a solicitation or recommendation to buy or sell any security. Readers should undertake their own independent analysis and seek professional advice before making investment decisions.

Analyst Certification

I certify that the views expressed in this research report accurately reflect my independent analysis of Carbacid Investments PLC. The opinions, forecasts and valuation presented are based on information believed to be reliable and on my own financial modelling and assessment. I have not received, nor will I receive, any compensation that is directly related to the specific investment recommendation contained in this report.

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End of Report